



WHAT THE TRADE POLICY GIVES

■ Twenty-six new markets added under Focus Market Scheme. These include 16 new markets in Latin America and 10 in Asia-Oceania.

■ Wider scope for products to be included for benefits under Focus Product Scheme (FPS) like technical textiles and vegetable textiles besides engineering products and some electronics. The incentive available under FPS has been raised from 1.25 per cent to 2 per cent.

■ Market-Linked Focus Product Scheme expanded to allow benefits to synthetic textile fabrics, textile madeups, knitted

and crocheted fabrics apart from rubber products, glass products, etc., if exports are made to 13 identified markets.

■ New EPCG scheme at zero duty to help technological upgradation of major exports sectors such as engineering and electronics and textiles.

■ Duty-free scrips (Paper currency issued for temporary emergency use) raised from 2.5 per cent to 3 per cent of the value of exports. These scrips can be used to import goods free of duty or can be sold in the market in case the exporter does not need imported inputs.

Promotion Council Chairman Rakesh Vaid. For A. Sakthivel, president of the Federation of Indian Export Organisations (FIEO), the problem with the trade policy is that it fails to address the refund of duty benefits and state levies issue. These have a cascading effect in pushing up costs of doing business for Indian exporters.

"Ideally, these should be factored in duty drawbacks to increase the drawback rates by a flat 4 per cent," says Sakthivel. But that does not happen. "In the absence of a Goods and Services Tax regime, which could unify all levies and lower the burden of taxation, such a mechanism becomes an immediate need," says the FIEO chief. Maran agrees: "Duty drawback rates and anomalies in refund of duties are affecting the viability of India's exports."

All the more because India's competitors in other developing countries

offer a variety of incentives to their exporting communities. China has in place a calibrated increase in refund of VAT from 11 to 17 per cent on exports and has added an additional 2 per cent drawback from January on man-made fibre. Pakistan has introduced an R&D assistance of 6 per cent and compensation to exporters for inconvenience caused by government agencies and law and order problems. India can't even compete with Bangladesh and Vietnam, who have cleverly turned their focus on apparel exports to take advantage of the zero-

“We have given a special thrust to job-oriented sectors, especially textiles.”



ANAND SHARMA, Commerce Minister

duty entry into the US and EU. No wonder, today India's share in the US apparel imports is 5.7 per cent whereas Vietnam's is 8 per cent and Bangladesh has 6.1 per cent. "We are trying to incentivise the apparel industry," says Maran, but "I have told them to foray into other products to improve their share in the world market from 10 to 15 per cent."

The Government hopes to make up for the setback to exports by diversifying into new markets in Latin America and Africa and by widening the basket of Indian exports from just raw materials to value-added goods like technical textiles and western suits. Maran has also set in motion the drive to shore up investments from the Japanese textiles industry. These may not be the mantra for steroid-charged growth but at least it will bring the machines roaring back to life and help spin a tougher yarn. ■